



**Quarterly fund reporting
Vintage III**

Q2 2025

September 2025

Strictly private and confidential!

The private equity market environment

DACH deal activity was down more than 20% both QoQ and YoY in terms of both value and count. While part of the decline is a natural comedown following a record-breaking Q4 2024 - the strongest quarter on record for the region - other headwinds have also weighed on momentum. The broader macroeconomic environment remains cautious, with lingering uncertainty around interest rate trajectories, particularly in Germany and Austria where financing markets have been slower to thaw. While inflation has moderated, elevated rates continue to impact debt-funded transactions, which are core to middle-market and large buyouts. Additionally, the DACH region is disproportionately exposed to industrials and manufacturing—sectors still contending with margin pressures, sluggish demand from China, and the potential of high US trade tariffs. Germany exports 10% of its goods to the US with over €250 billion of goods traded between Germany and the US in 2024. This would make it one of the hardest hit countries in Europe by trade tariffs as noted in The Impact of Tariffs on European PE.

Europe is home to more than 13,000 PE-backed companies, with 42% having been held for over five years. In today's environment, marked by the threat of new trade tariffs, pricing volatility, and growing LP pressure for distribution, these mature portfolio companies have become a key focus for GPs seeking timely and strategic exit opportunities. European PE exit activity dropped for a second consecutive quarter, with exit value down 22.9% QoQ and exit count down 11.5% QoQ. Increased volatility in Q2 translated into more uncertainty for sponsors that adopted a wait-and-see approach as valuation multiples swung in both directions. If exits did materialise, they were often small, as mega-exit activity is pacing for its worst year since 2019. The current inventory of European PE-backed companies continues to increase. This is a result of more companies staying private for longer but also a by-product of the lack of exits in the market. The median holding times for European PE-backed companies have edged higher, from 2.7 years in 2018 to 3.6 years in 2025.

DACH exit activity declined sharply in Q2, mirroring the slowdown in dealmaking. Exit value fell 53.9% QoQ and 30.9% YoY. However, thanks to a strong start to the year, DACH still led all European regions in exit value for H1 2025, reaching nearly €20 billion. Historically, the region averages around €38 billion in annual exits, and despite the political and economic volatility in H1, including new governments in Austria and Germany as well as trade tensions stemming from US tariffs, we remain optimistic that exit activity could accelerate meaningfully in H2 under a more stable macro regime.

Source: European PE Breakdown Q2 2025

The Fund portfolio and their management teams

End of Q2 2025, the portfolio of palero S.à r.l. comprises of only one investment: Schlaadt GmbH



The Company including its subsidiaries has been acquired in November 2021 from the owner family. Schlaadt Plastics manufactures functional and packaging moulded parts from particle foams – in particular EPS, but also EPP and copolymers – for customers in the automotive, heating, sanitary and household appliance sectors.

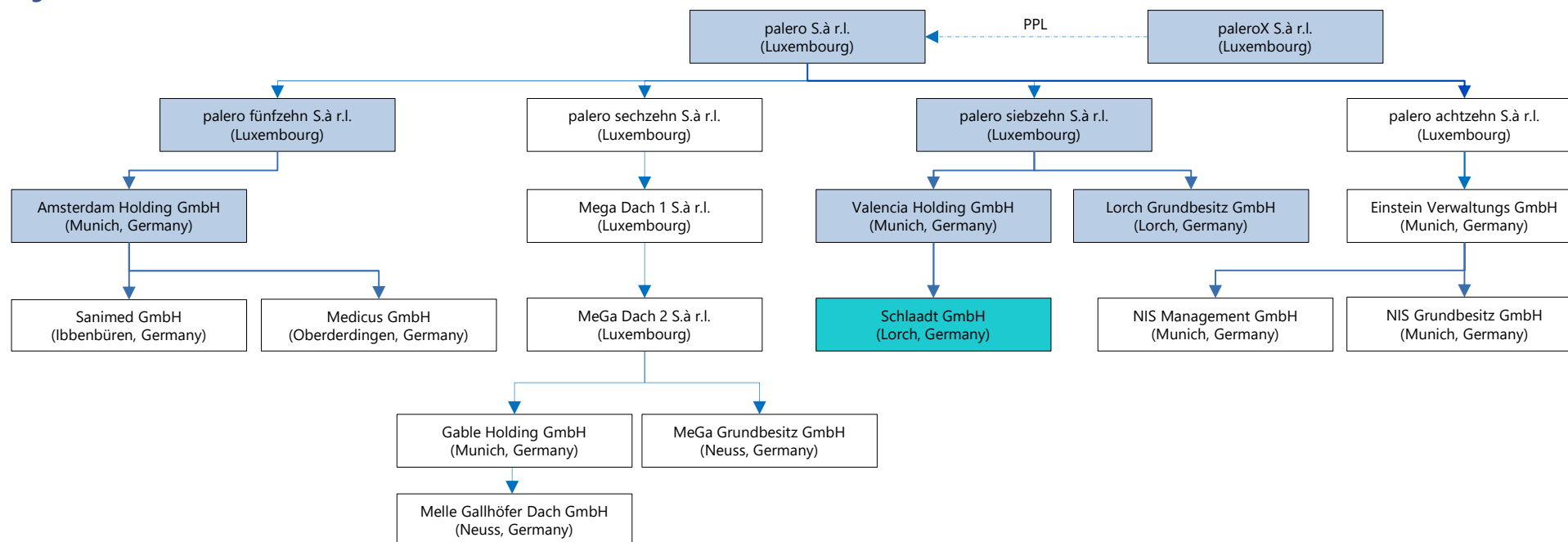
In case of further questions please contact Conny E. Wuppermann at cew@palero.de or Michaela Zachmann at mz@palero.de.

Munich, September 2025

Fund reporting

Closing date	01.10.2018	Investment period	Oct 1, 2018 until Sep 30, 2022
Vintage year	2018	Fund's domicile	Luxembourg
Total commitment	EUR 18m + top up fund	Legal form	SARL
Structure	palero S.à r.l. (base fund): One Limited Partners (Nord KB Micro-Cap V GmbH & Co. KG) and three General Partners (pp1 GmbH, pp2 GmbH and pp3 GmbH) paleroX S.à r.l. (top-up fund): One Limited Partners (Nord KB Dachfonds IV Beteiligungsgesellschaft mbH) and three General Partners (pp1 GmbH, pp2 GmbH and pp3 GmbH)		
Management company	palero capital GmbH, Munich		
Investment focus	Turn-around/corporate carve-out fund for small/mid cap companies in the German speaking markets		

Legal structure as of June 30, 2025



Fund summary

	Q2 2025	Q2 2025	Q1 2025	Q1 2025
	mEUR	% Committed Capital	mEUR	% Committed Capital
Total committed - base fund (palero S.à r.l.)	18,0	78%	18,0	78%
Total committed - top-up fund (paleroX S.à r.l.)	5,1	22%	5,1	22%
Total drawdowns	18,2	79%	18,1	78%
Total additional committed to portfolio companies	0,0		0,0	
Total remaining for drawdown	5,0	21%	5,0	22%
Potential drawdowns for next reporting period	0,0	0%	0,0	0%
Cumulative distributions	46,6	201%	46,8	202%
Recallable distributions	0,0	0%	0,0	0%
Equity Value of current portfolio	16,00		14,96	
Total cash of holding companies as of June 30, 2025	0,12		0,10	
Total debt of holding companies as of June 30, 2025	0,00		0,00	
Equity Value of the fund	16,13		15,06	
Multiples to investors				
Distributions to paid-in capital (DPI)	2,57x		2,58x	
Residual value to paid-in capital (RVPI)	0,89x		0,83x	
Total value to paid-in capital (TVPI)	3,45x		3,42x	
Paid-in capital to committed capital	0,79x		0,78x	
Total invested in portfolio companies	16,2	70%	16,2	70%
Total invested in structure and mgmt fees	2,0	8%	2,0	8%
Total additional committed to portfolio companies	0,0	0%	0,0	0%
Total additional planned for follow-on investments	0,0	0%	0,0	0%
Total distribution/contribution offset	0,0	0%	0,0	0%
Total remaining for investments	5,0	21%	5,0	22%
Total allocated to portfolio companies	16,2	70%	16,2	70%

Cash Flow schedule and Net IRR

Investors Commitment: EUR 18,000,000 (base fund) + EUR 3,532,500 (top-up fund)					
Date of Cash Flow	Contributions from Investors	... thereof recycled funds	Distributions to Investors ¹	Fund's Net Asset Value (NAV)	Cash Flows and NAV
Nov-18	-200				-200
Dec-18	-250				-250
Feb-19	-250				-250
Feb-19	-250				-250
Apr-19	-250				-250
Sep-20	-250				-250
Nov-19	-250				-250
Jan-20	-250				-250
Mar-20	-2.520				-2.520
Feb-21	-8.033				-8.033
Aug-21	0		24.671		24.671
Nov-21	-5.250	-5.250			-5.250
Dec-21	0		20.591		20.591
Aug-22	-100	-100			-100
Mar-23	-250	-250			-250
Jan-24	0		-1.422		-1.422
Jun-24	0		2.950		2.950
Feb-25	-60		-180		-240
Jun-25	0			16.126	16.126
Total cash flows	-18.163	-5.600	46.610		
Net IRR²					150,4%
Multiples to investors					
Distributions to paid-in capital (DPI)					2,57x
Residual value to paid-in capital (RVPI)					0,89x
Total value to paid-in capital (TVPI)					3,45x

in kEUR

1 - Distribution amount bears interest from respective shareholder loan

2 - The above schedule represents net cash flows between the investors and the fund on an aggregate basis. Due to individual contribution payment dates, the personal net IRR of an individual investor may slightly differ from the above

Realization summary

mEUR	Disposal Date	Holding period (months)	% Fund's Holding Sold	Cost of Realized Investment	Distr. Proceeds ¹	Further expected proceeds ²	Realized Gains/ Losses	Max total gain/loss	Realized Multiple to Cost	Achievable Multiple to Cost	Realized Gross IRR	Exit Method
During the current Reporting Period April 1 -June 30, 2025:												
<i>There have been no realizations during the current reporting period.</i>												
Since Inception to date												
Sanimed	26.07.21	16	100,0%	2,52	24,42	0,00	21,90	21,90	9,69x	9,69x	434,10%	Trade Sale
Melle Gallhöfer Dach	31.10.21	9	50,0%	8,03	20,59	0,00	12,56	12,56	2,56x	2,56x	265,02%	Trade Sale
Investment structure (not including Management Fees)				0,25	0,25	0,00	0,00	0,00	1,00x	1,00x		
Total Full Realizations				10,80	45,26	0,00	34,46	34,46	4,19x	4,19x		
Total Partial and Full Realizations				10,80	45,26	0,00	34,46	34,46	4,19x	4,19x		

in mEUR

1 - Including escrow, rental guarantee, former capital repayments during holding period as well as interest paid out - but only amounts received and/or already released and distributed to investors

2 - Further proceeds available from release of escrow accounts and deferred purchase price tranches

Current Portfolio summary

	Date of Initial Investment (Closing of transaction)	% Ownership		Cost of Investment	Enterprise Value as of June 30, 2025	Equity Value as of June 30, 2025		Capital Repayments/ Distributions since inception	Realized Gains	Unrealized Cost	Total Value of the investments as of June 30, 2025	Total Value/Initial cost as of June 30, 2025
		legally	fully diluted	fully diluted	legally	legally	fully diluted	fully diluted	fully diluted	fully diluted	fully diluted	fully diluted
Current portfolio												
Schlaadt Plastics GmbH	15.11.2021 ¹	100,0%	81,5%	5,25	36,05	19,65	16,00	2,95	0,00	2,30	18,95	3,61x
Total current portfolio				5,25	36,05	19,65	16,00	2,95	0,00	2,30	18,95	3,61x
investment structure (not including Management Fees)				0,41	0,00	0,00	0,00	0,41	0,00	0,00	0,41	n.a.
Total palero S.à r.l. and paleroX S.à r.l.				5,66	36,05	19,65	16,00	3,36	0,00	2,30	19,36	3,42x

in mEUR

Note on valuation of single investments:

All investments are valued using a multiple method derived from comparable companies in their respective industry. The investment's net debt is deducted from the Enterprise Value to derive the individual Equity Value.

1 - Closing of transaction of Schlaadt was November 15, 2021, but with economic effect as of January 1, 2021. Cost of investment of 4.5m EUR for base fund and 1.5m EUR for top-up fund.

Schlaadt: The EV/EBITDA multiple for the Industrial Industry averages at 9.3x. We applied a discount of 3.5x for reasons of profitability, fungibility, geography and size. This leads to a EV/EBITDA multiple of 5.80x applied for the current valuation.

Portfolio company: Schlaadt Plastics GmbH

Legal and trading Name	Schlaadt GmbH	
Location of Head office or management	Lorch, Germany	
Total initial amount invested by the Fund	EUR 6.0m (base fund: EUR 4.5m, top-up fund: EUR 1.5m)	
Description of the business	packaging moulded parts from particle foams	
% Ownership and board representation by the Fund	100.00% (legally); 81.5% (economically)	
Cost of investment	EUR 6.0m	
Enterprise Value (legally) as of June 30, 2025	EUR 36.05m	
Interest, Repayments and Dividends since Inception	EUR 2.95m	

Trading record

<i>mEUR</i>	H1 2025 ACT	H1 2025 BUD	H1 2025 ACT vs. BUD	FY 2025 6+6 FC	FY 2025 BUD
Output	29.17	30.35	-1.18	58.92	62.00
Gross Profit	15.81	16.72	-0.91	32.15	34.10
EBITDA	3.09	2.84	0.24	6.02	6.22
EBIT	2.38	2.07	0.31	4.61	4.78
Net income	1.00	-0.03	1.03	1.24	0.50
Net Debt	16.40	n/a	n/a	n/a	n/a

Significant events

The company shows a stable performance for H1 2025. The planned sales volumes were achieved in two out of four German plants and even exceeded by +8% in the USA. Nevertheless, the total planned output could not be achieved and this is also assumed to be the case for the second half of the year, as can be seen from 6+6 FC. The lower sales were more than offset by a higher GP margin and effective cost reductions due to savings in personnel costs. A total of almost EUR 1m was saved through the reversal of pension provisions and the reversal of bonus provisions. In addition, there was a positive effect of around EUR 560k from staff reductions, more flexible staff deployment and short-time working.

The restructuring program and efficiency improvement projects are having a positive effect. Assuming stable market conditions (energy and material prices), it will be possible to achieve the budget for 2025.

Portfolio company: Schlaadt Plastics – Budget 2025

mEUR	Q1-4 2024 ACT		FY 2024 BUD		Q1 2025 BUD		Q2 2025 BUD		Q3 2025 BUD		Q4 2025 BUD	
Output	58.21		69.18		15.36		14.99		16.51		15.14	
Material expenses ¹	-27.33		-34.48		-6.91		-6.72		-7.45		-6.82	
Gross Profit	30.88	53.0%	34.70	50.2%	8.45	55.0%	8.27	55.2%	9.07	54.9%	8.32	56.0%
Personnel costs	-15.54		-17.73		-4.29		-4.28		-4.29		-4.29	
Opex	-9.62		-9.96		-2.70		-2.61		-2.76		-2.67	
EBITDA	5.72	9.8%	7.01	10.1%	1.46	9.5%	1.38	9.2%	2.02	12.2%	1.36	8.9%
Depreciation	-1.54		-1.59		-0.39		-0.39		-0.39		-0.39	
EBIT	4.18	7.2%	5.42	7.8%	1.07	7.0%	0.99	6.6%	1.63	9.9%	0.97	6.4%
Financial result	-1.92		-2.47		-0.40		-0.39		-0.38		-0.47	
Extra-ordinary result	-2.70		-1.94		-0.51		-0.55		-0.48		-0.48	
Taxes	-0.42		-0.90		-0.12		-0.13		-0.12		-0.15	
Net income	-0.86	-1.5%	0.11	0.2%	0.04	0.3%	-0.08	-0.5%	0.65	3.9%	-0.13	-0.8%

Assumptions for Budget 2025:

- **Sales development:** Increase in sales volume by 3.9% compared to 2024: USA +20%, Lorch +10%, High Cut +5%, Dillingen -1%, Bretzfeld -22% ▪ Price increases for Neff Bretzfeld (+20%), High Cut (+3%) and BSH USA (+3.9%), price reduction for BSH Dillingen (-0.5%), constant price level for Lorch. Customer growth in the USA expanded by new customer Fox Blocks, scheduled start of production is April 2025. Cooperation has been agreed for the next 3 years
- **Production costs:** Material prices planned at Q2/Q3 2024 level, use of materials slightly lower due to the 'weight reduction' project planned. Savings in energy costs due to lower labour prices and increased efficiency of plant in Lorch
- **Personnel and opex costs:** Adjustment of wage structure on the basis of the newly introduced Quality-Matrix, increase in personnel costs by 3%. Reduction in the use of contract labour. Rent increase of 3% for Lorch property in Lorch and Dillingen. Implementation of freight tendering project.
- **Capex:** Investments of around EUR 1.5 million are planned, which will mainly be used to upgrade the systems. Investments in the USA (EUR 0.9 million) for the new customer will be recognised through leasing.

Portfolio company: Schlaadt Plastics – Budget 2025

<i>mEUR</i>	12/2024 ACT	3/2025 BUD	6/2025 BUD	9/2025 BUD	12/2025 BUD
Immaterial assets	0.09	0.14	0.14	0.14	0.14
Fixed assets	10.76	9.09	9.03	8.97	8.89
Inventory	6.37	7.33	6.65	8.09	6.62
Trade receivables	1.67	2.41	2.17	2.66	2.27
Factoring	0.00	0.00	0.00	0.00	0.00
Other assets	9.07	8.53	8.67	8.81	8.95
Current assets	17.10	18.26	17.48	19.56	17.85
Cash	2.27	2.17	2.17	2.17	2.17
Deferred expenses	3.00	3.23	3.23	3.23	3.23
TOTAL ASSETS	33.22	32.89	32.05	34.07	32.28
Equity	7.15	6.95	6.88	7.54	7.41
Shareholder loans	0.00	0.00	0.00	0.00	0.00
Accruals	6.03	6.84	6.26	6.53	6.80
Trade payables	3.10	3.35	3.08	3.63	3.83
Bank debt	13.03	13.65	13.99	14.47	12.44
Seller liability	0.00	-0.51	-0.51	-0.51	-0.51
Other payables	3.91	2.60	2.36	2.42	2.30
TOTAL EQUITY AND LIABILITIES	33.22	32.89	32.05	34.07	32.27

Capital Accounts since inception – BASE FUND

Capital Account since inception to June 30, 2025 in mEUR												Capital Account at Fair Value as of June 30, 2025 FULL WATERFALL
Investor	Ownership	Total Commitment	Opening Balance	Cum. Contrib.	Thereof Mgmt Fee	Capital share	Cum. Distrib. ¹	Realised Gains/Losses	Total amount distributed	Allocation of unrealized appreciation above cost ²	Capital Account at Fair Value as of June 30, 2025	
NH (Mirco-Cap V)	55,6%	10,00	0,00	8,27	1,50	0,03	8,29	9,29	17,59	7,59	7,59	3,82
pp1	14,8%	2,67	0,00	1,80	0,00	0,02	1,83	5,27	7,10	2,03	2,03	3,28
pp2	14,8%	2,67	0,00	1,80	0,00	0,02	1,83	5,27	7,10	2,03	2,03	3,28
pp3	14,8%	2,67	0,00	1,80	0,00	0,02	1,83	5,27	7,10	2,03	2,03	3,28
Total Fund	100,0%	18,00	0,00	13,68	1,50	0,10	13,78	25,09	38,87	13,67	13,67	13,67

Capital Accounts since inception – TOP-UP FUND

Capital Account since inception to June 30, 2025 in mEUR												Capital Account at Fair Value as of June 30, 2025 FULL WATERFALL
Investor	Ownership	Total Commitment	Opening Balance	Cum. Contrib.	Thereof Mgmt Fee	Capital share	Cum. Distrib. ¹	Realised Gains/Losses	Total amount distributed	Allocation of unrealized appreciation above cost ²	Capital Account at Fair Value as of June 30, 2025	
NH (Dachfonds IV)	99,0%	5,08	0,00	4,24	0,00	0,05	4,29	2,67	6,96	2,43	2,43	1,93
pp1	0,3%	0,02	0,00	0,01	0,00	0,02	0,03	0,23	0,26	0,01	0,01	0,17
pp2	0,3%	0,02	0,00	0,01	0,00	0,02	0,03	0,23	0,26	0,01	0,01	0,17
pp3	0,3%	0,02	0,00	0,01	0,00	0,02	0,03	0,23	0,26	0,01	0,01	0,17
Total Fund	100,0%	5,13	0,00	4,28	0,00	0,10	4,38	3,35	7,74	2,46	2,46	2,46

in mEUR

1 - Not including interest paid out, but distributions recycled for other investments. Interest is shown under column "Realised Gains and Losses"

2 - Portfolio companies currently valued above cost - not due to investors until realized and on a pro-forma basis for illustrative purposes only

Fees overview

Fees paid by Nord Holding

	kEUR
Q4	250
TOTAL FY 2018	250
Q1	250
Q2	250
Q3	250
Q4	250
TOTAL FY 2019	1.000
Q1	250
TOTAL FY 2020	250

Fees paid by portfolio companies

	kEUR
TOTAL FY 2020 incl. Transaction Fee	1.375
TOTAL FY 2021	1.013
Q1	313
Q2	313
Q3	313
Q4	313
TOTAL FY 2022	1.252
Q1	312
Q2	263
Q3	263
Q4	263
TOTAL FY 2023	1.100
Q1	263
Q2	263
Q3	263
Q4	263
TOTAL FY 2024	1.052
Q1	263
Q2	263
Q3	
Q4	
TOTAL FY 2025	526

palero

Brienner Str. 10
80333 Munich
Germany

T +49 (0)89 88 98 87100
F +49 (0)89 88 98 87101

www.palero.de